creditors would accept the part payment was open to question, especially with another larger bill to be met on 7 July. The CID—though it was no concern of theirs—wondered how the company could carry on for another month without the infusion of large sums of money.[42] But on the day of the meeting, the company managed a reprieve. Given the difficult conditions, there were differing opinions among the directors on the future course of action with even the sale of the *Gallia* being considered. One group was strongly opposed to liquidation and preferred soldiering on while some directors proposed negotiating a compromise with BI. Placing these divergent views before the shareholders was being considered.[43]

Less than two months later, in a public statement in August, S.D. Krishna Aiyangar stated that the full price of the *Lawoe* and the *Miranda* had been settled, except Rs 32,000 due on the *Gallia*, a fact reiterated by *The Hindu* subsequently.[44]

If settling the final dues on the purchase of steamers was one matter, it was not easy to manage smaller sums for day-to-day running expenses either. The revenue trickling in and other trifling sums raised were being spent immediately. The cash flow was so tight that, on one occasion, the company had to borrow a trifling sum of Rs 500 on the spot to pay some duty.[45] Antagonistic police reports always need to be taken with a pinch of salt; one can never be sure about the figures. But there is little doubt that the company's finances were far from rosy.

In May 1908, the European crew of the *Lawoe* refused to leave Tuticorin until their outstanding wages were paid. After they were mollified with money collected on the shores, it was the Indian crew's turn to strike work on arrival in Colombo. S.D. Krishna Aiyangar hurried to Colombo to pacify the crew with all of Rs 700 in his wallet; at Colombo, he tried to raise loans from Colombo banks, but we do not know with what success.[46] Possibly as a result of this, the *Lawoe* had a new captain: during July and August, Lloyd's records the name of Francis.[47]

Every voyage that the steamers made only added to the losses rather than generating surplus revenue. It was rumoured that many bona fide merchants